HDFC Bank Ltd

NSE: HDFCBANK.NS | Private Banks | Price as of 09 Nov 2026

CMP	TARGET PRICE	UPSIDE/DOWNSIDE	RATING
₹798	₹708	-11.3%	SELL

INVESTMENT THESIS

HDFC Bank Ltd (HDFCBANK.NS) is a leading Indian private-sector bank with a granular retail deposit franchise. Between FY23 and FY26 revenue compounded at 15.5% to ₹1,82,000 Cr and PAT at 18.0% to ₹72,500 Cr; RoA stands at 1.78% on a 7.7x assets-to-equity balance sheet. The record points to top-quartile growth; our forecasts fade growth from 21.6% toward 5.0% over five years.

RoE of 13.8% sits 126 bps above our 12.5% cost of equity, so book value is being compounded at a value-accretive rate. A Piotroski F-Score of 5/7 signals adequate fundamental momentum; Altman Z is not applicable to a banking balance sheet.

We rate HDFC Bank Ltd SELL with a target price of ₹708, -11.3% versus the current ₹798, and see the risk-reward as unfavourable. Our excess-return model (Cost of Equity 12.5%, terminal growth 5.0%) values the equity at ₹444 per share, while NSE peer medians imply ₹972. At 16.9x earnings the stock trades at a discount of 27% to the peer median of 23.1x.

BULL CASE

₹515 per share (-35% vs CMP). Cost of Equity 100 bps lower, terminal growth 100 bps higher and deposit repricing lags loan yields in an easing cycle, expanding NIM while credit costs stay benign.

BEAR CASE

₹400 per share (-50% vs CMP). Cost of Equity 100 bps higher, terminal growth 100 bps lower and deposit competition compresses NIM and unsecured retail slippages push credit costs above guidance.

KEY CATALYSTS

- CASA accretion and loan growth ahead of system
- NIM stabilisation as term-deposit repricing completes
- Credit cost normalisation in unsecured retail and MFI
- Earnings delivery versus consensus over the next two quarterly results

Key market & valuation data	
Market cap	₹12,25,160 Cr
52W high / low	₹1,001 / ₹672
Beta (vs NIFTY 50)	0.91
Shares / free float	1,535.0 Cr / 100%
Cost of Equity	12.5%
Implied EV/EBITDA (DCF)	n.m.
P/E (latest FY)	16.9x
P/B	2.2x
RoE	13.8%
Dividend yield	1.5%
USD/INR beta (2Y)	-0.73
1Y return vs NIFTY 50	-17.3% / -2.1%

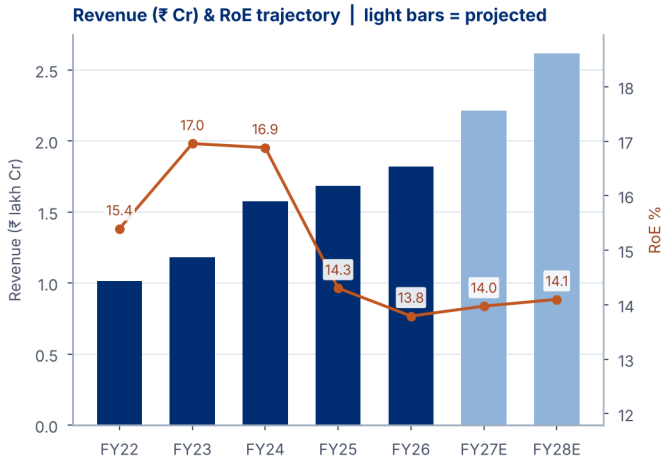
Quality scorecard	
RoA	1.78%
Assets / equity	7.7x
Piotroski F-Score	5 / 7
Altman Z-Score	n.a. (bank)
3Y revenue / PAT CAGR	15.5% / 18.0%

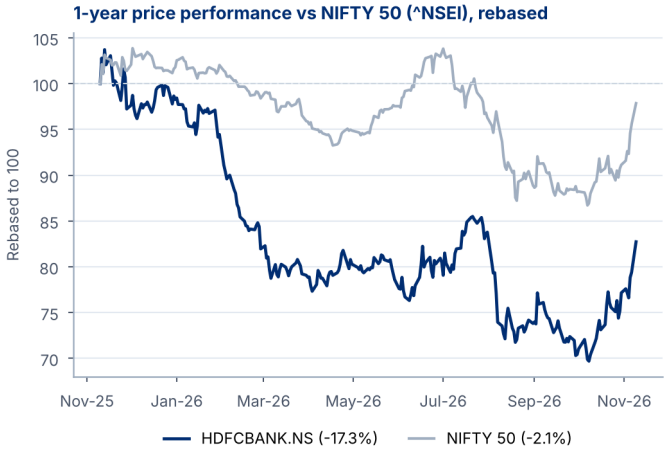
Target price basis: 50% intrinsic value + 50% peer-relative value. Rating scale: BUY above +15% upside, NEUTRAL −10% to +15%, SELL below −10%.

FINANCIAL SUMMARY & PROJECTIONS (₹ CR)

₹ Cr (FY end as labelled)	FY23	FY24	FY25	FY26	FY27E	FY28E
Net total income	**1,18,057**	**1,57,773**	**1,68,302**	**1,82,000**	**2,21,333**	**2,61,813**
YoY growth %	16.3%	33.6%	6.7%	8.1%	21.6%	18.3%
PAT	**44,109**	**60,812**	**67,347**	**72,500**	**81,101**	**90,916**
PAT margin %	37.4%	38.5%	40.0%	39.8%	36.6%	34.7%
EPS (₹)	28.7	39.6	43.9	47.2	52.8	59.2
Net worth	2,80,199	4,40,246	5,01,425	5,50,000	6,10,825	6,79,012
Book value per share (₹)	182.5	286.8	326.7	358.3	397.9	442.4
RoE %	17.0%	16.9%	14.3%	13.8%	14.0%	14.1%

E = model projection consistent with the valuation growth path. Banks are shown on net total income, net worth and book value; EBITDA, FCF and net debt are not meaningful.





EXCESS-RETURN VALUATION & ASSUMPTIONS

Assumptions & valuation bridge	
Method	Excess-Return Model
Risk-free rate (10Y G-Sec)	6.85%
Equity risk premium	6.25%
Beta (Blume-adjusted)	0.91
Cost of equity (CAPM)	12.53%
Growth: year 1 → terminal	21.6% → 5.0%
Current book equity	₹5,50,000 Cr
(+) PV of 5Y residual income	₹42,904 Cr
(+) PV of terminal residual income	₹88,921 Cr
Equity value	**₹6,81,824 Cr**
Diluted shares (Cr)	1,535.0
Intrinsic value per share	**₹444**
Upside / downside vs CMP	-44.3%

SENSITIVITY: KE VS TERMINAL GROWTH (₹ / SHARE)

Ke \ g	4.0%	4.5%	5.0%	5.5%	6.0%
11.5%	₹482	₹489	₹496	₹505	₹515
12.0%	₹458	₹463	₹468	₹475	₹482
12.5%	₹437	₹440	**₹444**	₹449	₹454
13.0%	₹418	₹420	₹423	₹426	₹429
13.5%	₹400	₹402	₹404	₹406	₹408

Base case highlighted. Green = above current price, red = below.

Target price derivation	₹ / share	Weight
Excess-Return Model	₹444	50%
Peer-relative (P/E, P/B)	₹972	50%
Target price	**₹708**	**SELL**
Current market price	₹798	-11.3%

NSE SECTOR PEER COMPARISON

Company	MCap (₹ Cr)	P/E	EV/EBITDA	P/B	RoE %	3Y PAT CAGR
HDFC Bank (HDFCBANK.NS)	12,25,160	16.9x	n.m.	2.2x	13.8%	18.0%
ICICI Bank (ICICIBANK.NS)	11,32,957	22.2x	n.m.	3.4x	16.4%	16.9%
Kotak Mahindra Bank (KOTAKBANK.NS)	4,76,623	24.1x	n.m.	2.7x	11.9%	9.9%
Axis Bank (AXISBANK.NS)	4,06,317	16.3x	n.m.	2.0x	13.1%	37.7%
IndusInd Bank (INDUSINDBK.NS)	69,720	60.6x	n.m.	1.1x	1.8%	-46.2%
Sector Median (peers)	**—**	**23.1x**	**n.m.**	**2.4x**	**12.5%**	**13.4%**

Multiples use the latest reported fiscal year and current prices; the first row is the subject company; the median is taken across peers only.

VALUATION COMMENTARY

Banks are valued on an excess-return model: book equity plus the present value of returns earned above the 12.5% cost of equity (beta 0.91). Inputs: book equity ₹5,50,000 Cr; starting ROE 15.0% fading to 13.8%. Applying peer-median P/E, P/B to the company's own earnings base gives ₹972 per share. The target price of ₹708 reflects 50% intrinsic value + 50% peer-relative value.

5-STEP DUPONT ROE DECOMPOSITION

Component	FY22	FY23	FY24	FY25	FY26
Tax Burden (PAT/PBT)	0.75x	0.75x	0.75x	0.75x	0.75x
Interest Burden (PBT/EBIT)	1.00x	1.00x	1.00x	1.00x	1.00x
EBIT Margin (EBIT/Revenue)	48.5%	49.8%	51.4%	53.4%	53.1%
Asset Turnover (Revenue/Avg Assets)	0.05x	0.05x	0.05x	0.04x	0.04x
Financial Leverage (Avg Assets/Avg Equity)	8.62x	8.72x	8.44x	7.99x	7.76x
= Return on Equity	**15.4%**	**17.0%**	**16.9%**	**14.3%**	**13.8%**

Analyst interpretation: RoE moved from 15.4% in FY22 to 13.8% in FY26. The dominant driver was financial leverage (8.62x to 7.76x, subtracting from RoE), followed by asset turnover (0.05x to 0.04x). Leverage of 7.8x is structural for a bank; interest burden is shown as 1.00x because interest expense is an operating cost and pre-tax profit is used as the operating-profit line.

FORENSIC QUALITY: PIOTROSKI F-SCORE & ALTMAN Z-SCORE

Piotroski F-Score: 5 / 7 (FY26)	Result	Evidence
ROA > 0	Pass	ROA 1.71%
Operating cash flow > 0	Pass	CFO ₹86,425 Cr
ROA improved YoY	Fail	1.72% → 1.71%
Accruals: CFO/Assets > ROA	Pass	CFO/TA 2.03% vs ROA 1.71%
Long-term leverage lower YoY	Pass	LTD/TA 9.00% → 9.00%
Current ratio improved YoY	n.a.	n.a. (line item not reported)
No equity dilution	Pass	1,535.0 Cr → 1,535.0 Cr shares
Gross margin improved YoY	n.a.	n.a. (line item not reported)
Asset turnover improved YoY	Fail	0.043x → 0.043x

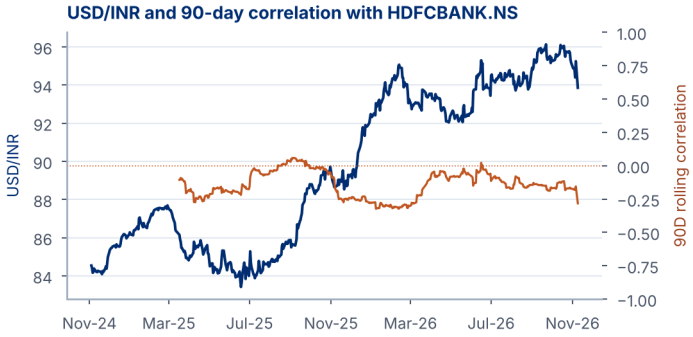
Altman Z-Score: not applicable	
X1 Working Capital / Total Assets	n.a.
X2 Retained Earnings / Total Assets	0.071
X3 EBIT / Total Assets	0.023
X4 Market Cap / Total Liabilities	0.331
X5 Revenue / Total Assets	0.043

Altman Z is calibrated on industrial companies. For banks and NBFCs, deposits and borrowings are operating liabilities and working capital is undefined, so the score is not meaningful — use capital adequacy (CET-1), GNPA/NNPA and RoA instead.

INR CURRENCY MACRO SENSITIVITY

Pair	Last	1Y change	52W range
USD/INR	93.86	+5.9%	88.54 – 96.13
EUR/INR	104.77	+2.2%	103.49 – 109.29
GBP/INR	125.61	+7.7%	116.05 – 131.68

HDFCBANK.NS sensitivity to USD/INR	
FX beta (2Y daily)	-0.73
FX beta, NIFTY-neutral	-0.20
t-statistic (NIFTY-neutral)	-1.3
90-day rolling correlation	-0.28
INR depreciation: sector effect	Neutral



USD/INR is at 93.86; the rupee has depreciated 5.9% against the dollar over 12 months. HDFC Bank Ltd's two-year FX beta to USD/INR is -0.73 (NIFTY-neutral -0.20, t-stat -1.3, not statistically significant) and the latest 90-day rolling correlation is -0.28. Structurally, INR depreciation is a broadly neutral direct earnings effect for the sector given limited direct translation exposure; the channel is indirect via FPI flows, liquidity and rates. The market-neutral price sensitivity is too weak to treat the rupee as a standalone trading driver.

KEY RISKS

- Net interest margin compression
- Asset-quality slippage in unsecured lending
- Regulatory changes on liquidity, provisioning or priority-sector norms
- Slower deposit mobilisation
- Valuation: fair value is sensitive to the discount rate and long-run growth assumptions (see sensitivity matrix)

DISCLOSURES

Methodology and disclosures. This note was generated algorithmically by an open-source research engine using the bundled offline demo dataset; prices as of 09 Nov 2026. Narrative engine: Deterministic NLG engine. Valuation: five-year FCFF DCF (excess-return model for banks) with CAPM cost of equity, India 10-year G-Sec risk-free rate, India equity risk premium and Section 115BAA tax rate; target price blends intrinsic and peer-relative value. Projections are mechanical extrapolations, not management guidance or consensus. The offline dataset contains approximate financials and simulated daily price paths anchored to periodic market levels; figures are illustrative. This document is for educational and demonstration purposes only. It is not investment advice, not a recommendation to buy or sell any security, and is not issued by a SEBI-registered research analyst or by any brokerage or bank. Past performance does not indicate future results.